

Most agricultural futures are traded in Chicago or New York, but you also find some interesting markets in Tokyo, London, and even Winnipeg. The variety of available instruments in this sector is a dream for the diversified futures manager, such as coffee, cocoa, cotton, orange juice, sugar, corn, wheat, lumber, rubber, oats, rice, soybeans, soybean meal, soybean oil, live cattle, and lean hogs. They are all affected by inflation to some degree as well as by the US dollar, but these tend to be of lesser importance over the long run and the individual markets show their own clear trends. It is certainly no coincidence that the business of diversified futures started within the commodity sector, and traders even still retain their name from those days: commodity trading advisors (CTAs).

The volatility of the different markets in this sector can vary significantly. The contracts in this sector are highly driven by fundamental developments specific to the commodity in question, such as adverse weather in an important production region, crop results, and inventory reports. When significant news comes out, there may be substantial moves not only on the day in question, but also for a prolonged period of time. This can be very nice when the move is in your favour, but make sure you are able to take the pain when the moves go against you. Seasonality is also a factor to consider in some of these commodities where cyclical demand or supply can affect the price patterns.

The exchanges often have so-called limit rules on these markets, meaning that there is a maximum amount the price is allowed to move in a single day. When the price has moved the maximum amount and buyers and sellers agree that the fair price lies beyond, the trading comes to a halt and is said to be in limit lock. The following day the price can move the same amount again, or less if the participants have calmed down by then.

In this sector all futures are in theory deliverable, which means that if you hold a contract, long or short, past the critical date you may be forced to take or make delivery of the underlying asset. For all deliverable futures contracts, such as gold, live cattle, corn, and so on, you need to close out your position long before the actual expiry date. The market conventions and terminology vary between markets, but usually you need to be out before the so-called first notice day. After that day, you could be called upon to make good on your commitment, which means either deliver or take delivery of the underlying. I don't know about you, but nothing ruins my day like a truckload of live cows parked outside my office.

For most traders this is only an amusing theoretical scenario with no actual risk, because most brokers will not allow these contracts to go to